

Calendar Line 7

Case Name: *Jazee Campaigns, LLC v. Vincent Thayer, et al.*

Case No.: 25CV477354

Motion to Stay Proceedings Pending Resolution of Criminal Action

Defendants Vincent Thayer and Gentech Laboratories, LLC move to stay this action pending resolution of the criminal proceedings in *United States v. Thayer*, Case No. 3:25-cr-00167-SI (N.D. Cal.).

Discussion

A trial court has discretion to stay civil proceedings when a parallel criminal proceeding substantially implicates a party's Fifth Amendment privilege against self-incrimination. (*Avant! Corp. v. Superior Court* (2000) 79 Cal.App.4th 876, 885-887.) In exercising that discretion, courts balance the competing interests, including: (1) the extent to which the defendant's Fifth Amendment rights are implicated; (2) the burden on the defendant; (3) the convenience of the court and efficient judicial administration; (4) the interests of the plaintiff in proceeding expeditiously and the prejudice that may result from delay; (5) the interests of nonparties; and (6) the public interest. (*Id.* at p. 885.)

The first two factors weigh heavily in favor of a stay. The federal indictment was filed before this civil action commenced and charges Defendant Thayer with an extensive scheme involving COVID-19 testing and related billing practices. Although Plaintiff characterizes this action as a contract dispute concerning unpaid compensation for testing services, the record demonstrates a substantial factual overlap between the subject matter of the civil action and the pending criminal prosecution. At this early stage of the litigation, requiring Thayer to file a verified responsive pleading or otherwise participate in discovery would place him in the constitutionally impermissible position of choosing between asserting his Fifth Amendment privilege and risking adverse consequences in this civil action, or waiving that privilege by providing sworn testimony that could bear upon the criminal case. (See *Pacers, Inc. v. Superior Court* (1984) 162 Cal.App.3d 686, 689-690.)

The Court is not persuaded by Plaintiff's contention that the overlap is too attenuated to justify a stay. The privilege protects not only answers that are directly incriminating but also those that could furnish a "link in the chain" of evidence supporting a criminal prosecution. (*Hoffman v. United States* (1951) 341 U.S. 479, 486.)

The third factor likewise favors a stay. This litigation remains in its earliest stages. Pursuant to the parties' stipulation, Defendants' obligation to respond to the Complaint has been held in abeyance pending resolution of this motion. Staying the action now will conserve judicial resources and avoid the prospect of piecemeal litigation while the criminal case proceeds.

The fourth factor weighs only slightly against a stay. Plaintiff asserts that delay may result in fading memories and lost evidence. While those concerns are legitimate, Plaintiff has not identified any specific evidence that is presently at risk of loss. In addition, Plaintiff filed this action after the criminal indictment had already been filed and after the parties' business

relationship had allegedly ended many months earlier, reducing the weight of its claim of urgent prejudice.

The fifth factor is neutral.

The sixth factor slightly favors a stay. The public has an interest both in the prompt resolution of civil disputes and in ensuring that criminal prosecutions proceed without unnecessary interference while constitutional rights are protected. Under the circumstances presented here, the latter interest predominates.

Gentech Laboratories, LLC

Plaintiff correctly observes that a corporation possesses no Fifth Amendment privilege against self-incrimination. (*Avant! Corp.*, supra, 79 Cal.App.4th at pp. 882-883.) Nevertheless, a stay of the action as to Gentech is appropriate on this record. Plaintiff's own Complaint alleges that Gentech acted through Defendant Thayer, and Defendants have presented evidence that Gentech is substantially intertwined with the subject matter of the federal prosecution. The record further indicates that Thayer is the individual possessing the principal knowledge necessary to defend the corporation. Under these particular circumstances, requiring the corporate defendant to proceed while staying the action only as to Thayer would substantially undermine the protections that justify a stay in the first instance and would likely result in inefficient, piecemeal litigation. The Court therefore exercises its discretion to stay the action in its entirety. This ruling does not recognize a Fifth Amendment privilege on behalf of Gentech; rather, it reflects the Court's balancing of the competing interests under *Avant!*.

DISPOSITION

The Motion to Stay Proceedings is GRANTED.

This action is stayed in its entirety pending further order of the Court.

To avoid an indefinite stay, the parties shall file a Joint Status Report every 180 days, beginning January 15, 2027, advising the Court of the status of the federal criminal proceedings and whether grounds continue to exist for maintaining the stay. Either party may move to lift or modify the stay upon a material change in circumstances, including resolution of the criminal case or other developments materially affecting the balancing of interests under *Avant!*.

The previously stipulated extension of Defendants' deadline to respond to the Complaint shall remain in effect during the pendency of the stay. Defendants' responsive pleading shall be due 30 days after the stay is lifted, unless otherwise ordered by the Court.

Defendant to prepare the final proposed order, accompanied by the necessary Form EFS-020, within 7 days of the hearing.

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Case Name: *Shabana Pirani v. Sweet Jane Kathleen Hammon*

Case No.: 25CV480258

MOTION FOR DISCRETIONARY RELIEF

Defendant seeks discretionary relief pursuant to Code of Civil Procedure 473b from its failure to timely file its responsive pleading. Defendant attributes the initial failure to a breakdown in communication between the attorney, the legal secretary, and the firm's legal processing vendor.

While Defendant has explained the initial filing error amounting to excusable mistake and inadvertence within the meaning of CCP 473, the moving papers do not explain why relief was not sought until June 9, 2026, nearly five months after the responsive pleading was due on January 17, 2026. Nor do they address Defendant's failure to appear at the May 21, 2026 Case Management Conference. These omissions reflect a lack of diligence and weigh against granting discretionary relief.

Nevertheless, after balancing the relevant factors, the Court concludes that relief is appropriate. Plaintiff received timely service of Defendant's anti-SLAPP motion and therefore had timely notice of Defendant's intent to respond to the action. The record does not demonstrate that Plaintiff suffered any material prejudice as a result of the delayed filing, beyond the delay itself.

Moreover, Code of Civil Procedure section 425.16, subdivision (f), a special motion to strike may be filed within 60 days of the service of the Complaint or, in the court's discretion, at any later time upon terms it deems just. California courts have long recognized the strong policy favoring resolution of cases on their merits whenever reasonably possible.

The Court emphasizes, however, that this ruling should not be construed as approval of Defendant's conduct. Counsel bears the responsibility to ensure that documents submitted through an electronic filing service are actually accepted for filing and to monitor the status of the case thereafter. The unexplained five-month delay in seeking relief, together with Defendant's failure to appear at the Case Management Conference on May 21, 2026 falls well below the level of diligence the Court expects of litigants and counsel.

DISPOSITION:

Defendant's motion for discretionary relief under Code of Civil Procedure section 473(b) is GRANTED. Plaintiff's request for entry of default is DENIED.

Defendant to prepare the final proposed order, accompanied by the necessary Form EFS-020, within 7 days of the hearing.